

THEORY: UNIT 2

TOPIC: CAPITAL STRUCTURE OF LIMITED COMPANIES

1. Differentiate between revenue reserves and Capital Reserves

Revenue reserves: An amount of profit voluntarily kept within the business, thus reducing the amount of profits left available for dividend payments. They may be either specific or general reserve. **Capital Reserves:** Capital reserves are created in accordance with the provisions of the company's act. Company's act prohibits transferring of capital reserves to Statement of Comprehensive income and they may not be used to pay cash dividend to shareholders but they can be used for issuing bonus shares.

2. Explain the following terms, including how each is created:

(i) reserves (ii) provisions (iii) liabilities

Reserves

Revenue reserves are appropriation of retained profit i.e. created after net profit has been calculated. Eg General reserve. Capital reserves may arise for a specific reason. Eg issuing shares at a premium, or revaluing a non-current asset, or redeeming own shares without an issue of new shares.

Provisions

Provisions are amounts set aside before arriving at net profit eg for depreciation. Provisions reduce the value of assets. The reason for the provision will be specific eg for damages in a court case, but the amount of the provision would be an estimate. Provisions follow the concept of prudence. Provisions enable a true and fair view to be shown/using matching concepts.

Liabilities

Liabilities are debts that have been incurred by the business and must be paid. Short term (current) liabilities must be paid back within one year. Eg trade payables to suppliers. Long term liabilities are to be repaid in a term greater than one year. Eg long term bank loan.

3. Evaluate the decision of redeeming ordinary shares

Advantages of redeeming shares: Company may have excess/large amounts of cash, which they feel would be best used / no better use than redeeming shares. Less funds will have to be paid out in the future in terms of dividends. Certain ratios will improve, eg Return on Capital Employed, Earnings per share. (need one) This will make managers and directors and company look better. The share price will rise as less shares are on the market.

Disadvantages of redeeming shares: Company may not have surplus funds / excess working capital etc. so may not afford/ be in a position to redeem. So it will drain on company's liquid resources. i.e. cash and cash equivalents. Liquidity ratios will worsen. eg Current ratio, and Acid ratio. Gearing ratio will worsen. as Debts is a larger percentage of capital employed. The company's Statement of Financial Position has a smaller equity base which gives the impression of a smaller company.

4. Briefly state how the following reserves are 1) created and 2) used:

	Created by	Used for/utilized examples
Retained earnings	Trading profit built up over the past and present years	Dividend paid to ordinary shareholders
General reserve	Transfer from retained earnings/ profit	Any, perhaps unspecified, use. Issue of bonus shares Transfer back to retained earnings
Share premium reserve	Issue of ordinary shares above their nominal value	write of preliminary expenses on formation of the company or issue of shares pay premium on redemption of shares issue of bonus shares
Capital Redemption reserve	Transfer from retained earnings when shares are redeemed	Act as a creditors buffer.
Revaluation Reserve	Upward revaluation of non- current asset	Transfer to retained earnings/ income statement when the asset is sold
Capital Replacement Reserve	Transfer from retained earnings	Spent on property plant and equipment Purchase of motor vehicle, Furniture

5. Evaluate, from the viewpoint of the company, whether Sunshine Stores Ltd should issue redeemable preference shares or irredeemable preference shares.

For redeemable preference shares:

- The company has more flexibility, being able to buy back the shares when it wishes and is in a position to do so. Buying back the shares will mean less dividends paid out in the future.
- The company may be in a position to pay less tax.
- Irredeemable preference shares cannot be redeemed except on liquidation of the company.
- Irredeemable preference shares might be more attractive to potential investors, who would eventually be able to get their cash back i.e. the new shares might be easier to place.

For irredeemable preference shares

- The equity section of the company appears bigger and stronger. This may have benefits when trying to attract investors or raise finance etc.

Other comments Both types of share will:

- Be included as fixed interest debt, so the gearing ratio will be the same.
- Involve paying a fixed dividend (that is actually cumulative).

Decision: Redeemable preference shares appear to offer flexibility and the possibility of a future redemption when finances allow.

6. Evaluate the decision of redeeming preference shares

Advantages: Redeemable shares can be bought back from shareholders, so will mean less funds leave the company in the form of dividends each year leaving more funds in the business for operations or paying dividends to ordinary shareholders. Buying back debt means that the gearing ratio could improve/reduce, which reduces risk. Statement of Financial Position looks stronger which could help attract investors. Capital may not be needed. Return on Capital employed will rise.

Disadvantages: Buying back the shares means a large outflow of funds at this time. Administration costs of buying back shares are high e.g. staff time, bank fees, postage etc. Preference shareholders may be unhappy and may not invest in the future.

7. Evaluate the use of ordinary shares as a method of raising further finance.

Case for Ordinary shares

- It is fairly straightforward to ask existing shareholders if they would like to purchase more shares.
- No "outside" parties having any influence on the running of the company, e.g. a place on the board, which banks may request if they provide funds.
- Shareholders do not have to be paid dividends, which is useful if Company is short of funds.
- No interest has to be paid, so the profits of Company will be higher than taking a bank loan. This will also help cash flow and liquidity.
- Issue of shares results in lower gearing, which decreases the risk to Company.

Case against Ordinary shares

- Administration costs involved in the issue of ordinary shares would be much greater than the administration costs of taking out a bank loan.
- A share issue may not be fully subscribed. If Company then turn to a bank for funding, the bank may see the company as high risk and charge a high interest rate.

Conclusion

Should relate to points made above. For example, ordinary shares are a good source of finance.

8. Evaluation of creating and utilising Capital Redemption Reserve ;

Case for; CRR acts as a creditors' buffer. Capital base is maintained. CRR is a Capital Reserve so it prevents directors/shareholders from taking cash/ capital out of the business, leaving little/nothing for creditors in the event of the company experiencing liquidity/ trading problems. Cannot be transferred back to the Statement of Comprehensive Income and then used to pay out dividends. Presence of CRR may help a company obtain credit or investment/ buying of company shares as Statement of Financial Position appears stronger. In certain circumstances e.g. redemption of shares, the CRR must be created by company law therefore should be of benefit. CRR can be used for a bonus issue of shares

Case Against; Creating a CRR takes time and money and accounting expertise. Reduces flexibility, as company may not be able to do what they want to do e.g. redeem shares, if e.g. insufficient funds in revenue reserves.

Conclusion: Capital Redemption Reserve is worthwhile/ useful/ effective.

9. Evaluate the decision to issue ordinary shares instead of preference shares, giving advantages and disadvantages of each type of share from the point of view of the company.

Ordinary shares

Ordinary shares would see an inflow of capital that will help the company's liquidity position and therefore help with the future running of the company. Ordinary shares would allow existing shareholders the right to buy more shares in the company. This would ensure there is no dilution of control if they take up the rights. However, ordinary shares could be purchased on issue by outside parties if existing shareholders do not take up their right to buy the newly issued shares. Outside parties could buy these new shares when second-hand, if they are offered on the open market. Outside parties gaining some control of the company could be to the benefit or detriment of the company. Ordinary shares only have to pay a dividend when the company is in a financial position to do so. This would help the company regarding liquidity, cash flow, and maybe stop

revenue reserves being drained. It would appear that the business is not in a healthy financial position – it made a trading loss this year. There is little in the revenue reserves that could be used to finance a large dividend payment. Ordinary shares decrease the gearing ratio and that may make borrowing easier. This would help the company's liquidity position, if it is having problems borrowing, or with liquidity.

Decreasing the gearing ratio also reduces risk to company..

Preference shares

Preference shares would see an inflow of capital that will help the company's liquidity position and therefore may help with the running of the company. If the company is finding it difficult to raise finance, it may find preference shares are more likely to be taken up by investors than ordinary shares, who may see a potentially larger return. Preference shares would see the holders

expecting a regular payment, probably twice a year, at a fixed rate of interest. This should be paid, even if the company is in a poor financial position. If dividends are not paid, the missed dividend may be carried over to a future period i.e. the dividends may be cumulative. Preference shares increase the gearing ratio that may make future borrowing more difficult for the company.

Decision

Good decision by the board to issue ordinary shares.

10. Differentiate between right issue and Bonus issue. Right issue is offered to existing shareholders (not to the general public) in a ratio based on the shareholders present holding of shares. The book keeping entries are similar to selling shares to the general public. It can be issued at premium.

Journal entry: Dr. Bank

Cr. Ordinary share capital

Cr. Share premium

Bonus shares are issued to the existing shareholders free of cost. They are issued when there are undistributed profits in the company. They may be issued utilizing capital reserves and revenue reserves. This is an issue of shares by means of capitalizing reserves.

Journal entries

Dr Reserve (the reserve that they utilize for bonus issue)

Cr Share capital

11. Evaluate the decision of issuing bonus shares?

Advantages of Bonus shares:

The issue of bonus share does not use the cash reserves of the company and allows cash resources to be used elsewhere in the company. Bonus share may be issued instead of the dividend, where there is shortage of cash. The bonus issue will not affect the voting rights as each shareholder has same position of the overall share capital. It is easier for an individual shareholder to sell part of his holdings at a lower price. If the company can sustain its dividend per share each shareholder will receive a larger total dividend.

Disadvantages of bonus shares

Bonus shares bring in no cash for the company. Issue of bonus shares sees share price fall and Shareholders will be unhappy. Bonus shares will result in more shares eligible for dividends in the future so greater future payouts, or dividend per share may fall. If bonus shares are paid from revenue reserves this means, there will be less funds available for future dividends/emergencies. Shares may fall in value in the future due to (e.g.) economic reasons so shareholders will be unhappy.

12. Evaluate the decision of right issue.

Advantages of Rights Issues

Allows the company to raise funds that can be used for the benefit of the company.

Funds could be used to pay dividends to shareholders who did not receive a final dividend for previous years who may be unhappy.

Existing shareholders get the first rights to buy the shares, so

- administration costs will be lower than a public issue, if the rights are taken up.
- Existing shareholders do not see a dilution of powers/ownership

The company may appear a "bigger" company as it has a larger capital base.

A successful rights issue shows the shareholders have confidence in the company.

A rights issue helps banks maintain the capital base that is required for banks.

Disadvantages of Rights Issues

Costs of administration.

Rights may not all be taken up. This may mean:

- extra costs of having issue underwritten by e.g. merchant banks.
- new shareholders take up the shares, so existing shareholders see powers diluted.

Shareholders were probably unhappy at not receiving a final dividend for previous year, now they are being asked to pay up more cash, which will make them even more unhappy.

If the market price of the shares falls below the issue price before the issue, nobody will take up the rights issue.

Some ratios will now worsen, due to the larger capital base.

E.g. Return on capital employed, Earnings per share, Dividends per share, Dividend yield

A rights issue may send out a signal to the market that the company is short of funds, so confidence in the company falls. This may effect the Price Earnings ratio, or even the credit rating of the company.

Conclusion

Company could probably welcome the extra funds, but they run the risk of upsetting the shareholders and the market with a rights issue.

13. Evaluate the decision to convert the (8%) Debentures / Bank loan into £1 Ordinary Shares from the viewpoint of the directors.

Case for Ordinary shares/ For Conversion

• Shareholders do not have to be paid dividends, useful when short of funds. • No interest has to be paid, so profits of company higher (or smaller losses) which will result in share price rising • Assets no longer offered as security, so no claims on assets by debenture holders, if debenture not repaid, or company fails. • Share issue reduces gearing and therefore risk • OR Debenture results in higher gearing which increases risk to company (and may affect credit rating) • No “outside” parties (i.e. debenture holders) having any influence on running of company eg place on Board • Statement of financial position will look stronger and may attract investors

Case for Debentures / Against Conversion

• Interest is allowable for tax, so company may be able to retain more funds than if paying dividends. • Keeping debenture sees no dilution of ownership for existing shareholders. • Debenture issuer may bring expertise and experience to company, and maybe Board. • Cost of share issue eg fees etc. • The Memorandum of Association may have to be changed • There may be a fall in dividends per share • Share price may fall

Conclusion: Conversion will benefit the company

14. Evaluate the decision to raise further finance by issuing ordinary shares, rejecting the possibility of raising funds by the issue of debentures

Case for Ordinary shares / Case Against Debentures

• Shareholders do not have to be paid dividends, useful when short of funds / making a loss. Dividends could be variable interest on debentures must be paid
• No “outside” parties having any influence on running of company eg place on Board
• No interest has to be paid, so profits of company higher.
• No assets offered as security, so no claims on assets by debenture holders, if debenture not repaid, or company fails.
• Reduces gearing ratio and therefore risk
• Debenture results in higher gearing which increases risk to company

Case for Debentures / Case Against Ordinary Shares

• Interest is allowable for tax, so company may be able to retain more funds than if paying dividends.
• Debenture issuer may bring expertise and experience to company, and maybe Board.
• No possible dilution of ownership for existing shareholders which means earnings per a share will fall
• May be quicker to issue than ordinary shares
• Costs of arranging debenture may be lower eg no prospectus to issue

Maximum of 8 marks for arguing one side

Conclusion

Should relate to above points made.

E.g. Ordinary shares are a preferable source of finance.

15. Evaluate the raising of capital for a plc by issuing a debenture instead of taking out a bank loan

Advantages of debentures: Debenture may have a lower rate of interest which would have been fixed on issue. The bank loan may have a higher rate if there is a period of high or rising interest rates. Interest only has to be paid on a debenture every 6 months, whereas bank loans require monthly repayments. The debenture therefore allows the company some breathing space which is useful if trading is seasonal, or going through a period of low sales. Debenture may be for a longer period of time, which may benefit company, especially if to finance a long term project. Bank may wish to be involved in decision-making etc. if loan given e.g. ask for a seat on the board

Advantages of bank loans: Interest rate may be lower. Bank loan is likely to be for shorter period so less interest may be paid. Monthly repayments may be preferable to larger six-monthly repayments. Bank may have good relationship with company and give advice etc. Debenture holders may wish to be involved in decision-making/control e.g. ask for a seat on the board

Conclusion:

16. Evaluate the issue of debenture to raise finance

Case for: Company raises cash required for new investment. Fees are likely to be low compared to an issue of shares e.g. prospectus, advertising, etc. No capital repayments over the life of the debenture. Interest is fixed which allows budgeting to take place. Debenture interest is allowed against tax so less corporation tax is paid on profits. Issuing debentures instead of shares reduces the chance of a takeover

Case Against: There will be some expenses involved in debenture issue e.g. administration, underwriting etc. When debenture matures, a large capital sum has to be repaid. Interest must be paid on debenture even when the company makes a loss and interest will reduce the profits. Issue of debenture means gearing ratio will increase. Debenture holders are likely to insist on a charge over company assets. Debenture holders may insist on some form of control e.g. a seat on the board

Conclusion: As a source of finance for the new marina, a debenture is probably (not) a good idea.

TOPIC: FINAL ACCOUNT OF LIMITED COMPANIES

17. International Accounting Standard 1 (IAS1) recommends costs to be placed under the headings of cost of sales, distribution costs, administrative expenses and financial cost. Evaluate the IAS recommendation

For decision

Allows readers of financial statements to understand a given, uniform presentation.

Allows readers of financial statements to compare companies.

Enables companies to see how various sections of the business are performing i.e. production, distribution, and administration.

The subdivisions may be helpful in determining internal decision making e.g. price setting, budget preparation.

Against decision

May add to the complexity of producing and reading financial statements.

There are some items/expenses that may be placed in more than one section, which may make comparisons invalid.

Decision

Probably a good recommendation to divide up expenses into the given sub-headings.

18. Explain the term corporate governance.

Corporate governance is the mechanisms and processes used to control and direct companies in pursuit of their objectives. This will involve the rights and responsibilities of the board of directors and managers. Mechanisms may include monitoring the actions, policies and decisions of companies and their agents. Corporate governance practices will try to align the interests of stakeholders and minimise conflict.

19. “A company’s statement of financial position is more important than statement of comprehensive income” “evaluate.

For Statement of Financial position;

Statement of Financial position shows items of value firm possesses and may use for running firm over long time (fixed asset), i.e. it shows the financial strength of the firm. Shows the financial weakness of the business. The long-term liabilities debt that must be serviced. It shows a book value of the firm. That is the capital and reserves. Shareholders can see the value of their investment. Some figures in the profit and loss may be an estimate. Example depreciation, stock valuations

For Statement of Comprehensive income:

Shows how well the business has performed over the trading period. This is very important as Statement of Financial position may look very healthy, but trading a loss. P&L a/c enable firm to see the relationship between sales and purchases/production that is the gross profit. It enables the firm to see the relationship between the gross profit and expense; net profit. Some figures in the Statement of Financial position may be estimate for example depreciation and stock values.

20. Evaluate the importance of auditor’s report

Case for importance of Auditors’ Report

Auditors are independent scrutineers of the accounts and report that the accounts have been prepared “correctly” in accordance with International Accounting Standards. Auditors will report that the accounts give a true and fair view, or do not give a true and fair view. Auditors report on how the Directors have used the funds invested by shareholders and the auditors’ duty is to the shareholders. Auditors will have audited the reported profit and this may give tax authorities more confidence that the tax computation is correct. Professional supervisory bodies exist to give guidelines to auditors, e.g. Auditing Practices Board. Auditors should be professionally qualified, e.g. Chartered Accountants.

Case against importance of Auditors’ Report

Auditors may not be very independent, going along with the wishes of their clients, in order to keep their custom. Clients may provide auditors with lucrative non-audit work so auditors will not want to upset clients by disputing their accounts. Auditors could be misled by the directors and provide an inaccurate report. Auditors do not guarantee that material fraud has not occurred which means a reduction in the confidence of an Auditors’ Report. Cases of fraud have been overlooked by a positive Auditors’ Report. Companies have gone into liquidation soon after being given a positive Auditors’ Report.

Conclusion

The Auditors’ Report can usually be relied on as a confirmation of the financial statements and the financial position of the company. However, this is not the case in 100% of Reports.

21. Explain how continuing activities and discontinued activities would be disclosed in the Annual Report available to shareholders, and why it is important to disclose the activities in this way.

Continuing Activities and Discontinued Activities should be shown separately in the financial statements. This is required by FRS3 / IFRS 5. This will benefit users of accounts because they can see that profits or losses from the Discontinued Activities will not be expected to be realised in the future. This allows readers to predict more accurately future expected performance of the company from Continuing Activities. This may help future potential investors/shareholders/creditors etc. with decision making. E.g. buy more shares/allow credit.

22. Evaluate whether you think it is beneficial to show Net Current Assets (Liabilities) on the Statement of Financial Position for a company.

FOR: Allows the user to see clearly/easily which is largest of current assets and current liabilities. This enables the user to judge the net amount of liquid assets If Net Current Liabilities, then clearly the entity has a liquidity problem. And allows them to take action Helps potential investors to make a decision whether to invest. Helps suppliers make a decision concerning possible credit to be given.

AGAINST: Net Current Assets only shows an amount in a monetary value. This does not show if this amount is sufficient. The amount required would be affected by the entity's size and industry. More useful measures of liquidity are the Current Ratio and Acid (Quick) Ratio. These could be calculated using either of the two formats. It may be better to show all the monies put into the entity on the same side of the Statement of Financial Position / Statement of Financial position i.e. Total Equity and Liabilities.

23. Evaluate the usefulness of accounting recognising exceptional item (eg: discontinued activity) in the published account. Benefits:

This will benefit users of accounts because they can see that the expense of the exceptional item will not be expected to repeat regularly in the future. Although in the normal line of business the exceptional item should be disclosed because of its size. This allows reader to predict more accurately future expected performances. This may help future potential investors; shareholders, creditors etc. with decision making.

Disadvantages: Adds more figures and details to the accounts so makes them more difficult to understand. Extra cost in spending extra time and preparing account.

Conclusion: it is beneficial for disclosing exceptional item

24. Evaluate the importance of directors' report

Case For Directors' Report

- Report gives information to e.g. shareholders which they could use to make a decision e.g. invest more funds in the company. Shareholders / readers may be assured the company is acting in an ethical manner. Other stakeholders e.g. pressure group may use information in the Report to bring about change in company policy e.g. treatment of disabled. Disclosures may be required under Stock Exchange regulations, which may be appropriate in the Directors' Report e.g. legislation pending. The Director's Report could be considered part of the corporate governance.
- Information is given to shareholders which allows them to see in some detail how the company is performing E.g. company performance/principal activities, review of the position of the business
Post balance sheet events, future developments Names of directors, interests of directors
Employee involvement, disabled employees policy
Political and charitable donations Creditor payment policy, creditor payment days

Case Against Directors' Report

- Report costs personnel time to prepare and money to print etc.
- Directors may use Report to "window dress" the accounts, ie give an inaccurate/unrealistic positive view of the company, as it is in their interest to do so. There is a time delay before the Directors Report is published so events may have changed.

Conclusion : Should relate to above points. E.g. Directors' Report is useful.

25. Evaluate the importance of sending a copy of the financial statements of a public limited company to shareholders at the end of the financial year.

FOR Usefulness/ Importance

Legally the shareholders must receive a copy/or have copy made available of the accounts and they can see how the funds they have invested are being used/ how company is performing . Shareholders may be happy (or unhappy) with the performance of the company and may decide to buy more (sell) shares. Accounts are prepared in standard format which allows shareholders to compare the accounts of one company with another. E.g for investment potential.

AGAINST Usefulness/Importance

Preparing the accounts is time consuming, and time means money. Expenses associated with preparation and sending eg printing costs and postage. However shareholders could be sent an abridged (smaller) version of the accounts which are much cheaper.

Some figures are estimates e.g. Depreciation

Some shareholders will not understand the accounts as they have little accounting knowledge .

The accounts may not be totally reliable e.g. due to 'window dressing', fraud etc

CONCLUSION Should relate to points made above.

Eg It is important they receive a copy of the accounts.

26. Evaluate the role of the auditor in the corporate governance of a public limited company.

Case for role of auditors

Companies must "comply or explain". They may be able to justify an alternative approach to corporate governance in writing. Auditors may have a department or number of staff specialising in corporate governance. Auditors could advise or prepare the "alternative approach".

Corporate governance has 5 key areas:

Section A: Leadership – lead by an effective board, who are responsible for success of company, clear division of responsibilities, with non-executive directors who should challenge. The Chairman is responsible for the Board. No individual should be able to make all the decisions. An auditor could note in the Audit Report, or enquire about division of responsibilities. For example, is the Chief Executive Officer also the Chairman?

Section B: Effectiveness – board should have an appropriate balance of skills, experience, independence, and knowledge to carry out duties effectively. Appointment to the board should be formal, rigorous and transparent. There should be induction, self-evaluation, and re-election. An auditor could note in the Audit Report (or ask) to check that re-election of board members at regular intervals does take place.

Section C: Accountability The board should present a balanced and understandable assessment of the company's position and prospects. The board is responsible for risk and internal controls, and should have sound risk management. The board should maintain an appropriate relationship with the company's auditor. An auditor could note in the Audit Report (or ask about): In our opinion, insufficient checks were made when taking over another company. Risk management was not sound.

Section D: Remuneration Levels of remuneration should attract, retain and motivate directors of the required quality. However, a company should avoid paying more than is necessary. Director's remuneration should be partly linked to individual and corporate performance. No director should be involved in deciding their own remuneration. An auditor could note in the Audit Report (or ask): One director sits on the Remuneration Committee and was involved in setting their own remuneration.

Section E: Relations with shareholders The board is responsible for ensuring a satisfactory dialogue with shareholders takes place, based on mutual understanding of objectives. Investors should be encouraged to participate at the AGM. An auditor could note in the Audit Report (or ask) about sufficient notice being given concerning the date of the AGM.

Case against the role of auditors

Auditors providing services in relation to corporate governance are likely to be expensive. It is possible they may not provide value for money.

It may be that a company will benefit from outside corporate governance specialists, as auditors may be reluctant to challenge a company too strongly for fear of losing audit and other work.

Conclusion:

It is hoped that auditors who provide specialist advice in the area of corporate governance provide a beneficial service.

TOPIC: RATIO ANALYSIS/ INVESTMENT RATIO

- 27. At a Board meeting, the Chief Executive stated, "Last year, the dividend per share was 2.5 pence per share. It is important that the dividend per share increases every year". Evaluate the statement made by the Chief Executive.**

Agree with statement

Ideally directors would like to reward the shareholders with an ever-increasing dividend per share each year. This would keep shareholders happy. This would probably keep directors in their posts, including when they come up for re-election by shareholders.

This may also signify that the company is continually performing increasingly well.

Against the statement

Directors should only pay what they feel is the appropriate amount in dividends. This may be less than they paid in the previous year. This may be because profits are down in a year, and directors wish to be cautious.

It may be that if dividends are to increase in a year, they are greater than the amount in revenue reserves.

Or, it may be that dividends are getting too large, and the shareholders returns are starting to be unrealistically high, given the financial position of the company.

Or, it may be that the directors wish to keep some funds in reserve in case of a future downturn, or for an investment opportunity, or to replace non-current assets etc.

Decision : The statement is unrealistic.

- 28. "There is only one ratio that is important and worth knowing about, and that is the dividend per share". Evaluate the statement**

For the statement: Investors are usually interested only in the return on their investment, which is shown in the dividend per share, which is used to calculate how

much the investor receives. Investors are more concerned with what they actually receive, than how easily the company can afford to pay the dividend, as shown by the dividend cover.

Against the statement: Investors also have a capital gain when the share price rises, which is partly shown in the Price/Earnings ratio. Dividend yield shows the return for every pound invested, which is more important than dividend per share. Earnings per share is an important ratio, as it shows how much profit is being generated for each share invested. These profits are then used to pay dividends. Other ratios concerning profitability and liquidity etc. are important, as they show how well the firm is doing.

Conclusion: Dividend per share is not the only important ratio worth knowing about.

- 29. "A higher share price means shares are better". Evaluate**

A higher share price does not mean a "better" share. The nominal or face value of the share needs to be considered. Also the total number of shares in the company. Also important is the movement in the value of the share – is it moving up or down? Very important is the demand and/or future/confidence of the market in the share – if he/she buys shares now, will he make a profit or a loss on the share. Many factors both inside the company and outside the company can affect the price of a share.

30. Evaluate the ways to increase a company's earnings per share

Ways to increase earnings per ordinary share:

Increase net profit.

Numerous ways to do this, under the general headings of increasing revenue and/or decreasing costs. For example, Bogra could run a marketing campaign to increase revenue and negotiating a discount on purchases could decrease costs.

This method would be approved by Bogra shareholders and the stock market and is probably the best method.

Reduce interest payments

Bogra could reduce borrowings, by paying off loans etc. However the company would need to ensure they have enough liquid funds for this.

This method would be approved by shareholders and the stock market and is a good method.

Reduce taxation

Accountants or the finance department of Bogra could find ways of reducing the tax bill of the company. For example they could move the company base to a low-tax location. This would not be popular with the public of the country the company is based in now.

Reduce number of ordinary shares issued.

Bogra could redeem some ordinary shares. However, the company would need to ensure they have the liquid funds to do this and not drain liquid resources. Those shareholders who have to sell the shares may not like this approach. It may also make Bogra look a smaller company. It would also increase the gearing ratio.

Decision

Increasing net profits is probably the best way to increase earnings per share.

31. At the Board Meeting, the Chief Executive said, 'The dividend yield is an important ratio and helps judge the success of the company'.

Evaluate the importance of the dividend yield ratio in judging the success

Dividend yield is a reflection of the success of the company

Dividend yield is a reflection when judging the success of the company because dividends paid will be higher when profits are healthy. The company could increase the ratio by increasing the dividends.

Dividend yield is not a reflection of the success of the company

The board of the company could make a decision to increase the dividends paid out to shareholders. This would make shareholders happy. However, this does not necessarily indicate a successful company but may just be an indication of the dividends policy of the directors. Dividends yield may be high because the directors are paying out all of the profits as dividends.

Dividend yield may be high because the share price is low. The low share price may be due to external factors e.g. government regulations or internal factors e.g. company weaknesses.

Return on capital employed is a better reflection of the performance of the company.

Conclusion

Dividend yield probably is a reflection of the success of the company.

(Candidates may conclude dividend yield is/is not a reflection of the success of the company but must be supported by an appropriate rationale)

32. Evaluate the relative importance of liquidity and profitability to a business

Profit most important: Without profit, business would close down in the long. No/low profits may result in firm unable to attract finance or investors/shareholders. No/Low profits may see share price fall, as investors lose confidence. If short term liquidity problem, many sources are available as source of finance banks, shareholders, debt factoring etc.

Liquidity Most important: Liquidity problems result in unable to pay daily bills eg: wages, electricity unable to pay some bills may result in closure of business eg: tax bill. Unable to pay some bills may mean business may face discontinuing of services available e.g. electricity cut off. Can survive short term losses if previous profits have been built up. Firms could have profits in books but lack of liquidity could force firm to cease trading

Conclusion e.g. It is profit that determines the long-term survival of a business/ Profit more important.

33. At a recently held Annual General Meeting, a shareholder made the following comment. "If we can increase the return on capital employed ratio, we will be able to attract more shareholders". Evaluate the statement made by the shareholder.

For the statement

The return on capital employed (RoCE) is an important ratio for investors and potential investors. The ratio shows the return before interest and tax on every pound invested in the business.

The higher the RoCE the better the returns for every pound invested in the company. This would make the company look more attractive to investors.

Investment funds etc will study the ratios before investing in a company and they would like to see RoCE as high as possible.

Against the statement

There are other ratios which are very important to potential investors as well eg earnings per ordinary share, price/earnings ratio, dividend per share. These other ratios will also be studied and analysed by potential investors.

Some investors may not study the ratios, but may make an investment decision based on economic circumstances. For example the external factors that may affect the holiday industry such as exchange rates, the trade cycle, or pandemics.

Conclusion

Candidate may conclude that the return on capital employed ratio may or may not attract more shareholders but must support their answer with valid reasons.

34. A member of staff comments 'I think that the dividend cover is the most important ratio of all the investment ratios'. Evaluate the statement made by the member of staff.

Dividend cover is the most important ratio

Investment ratios are ratios that are of importance to those investing in the company. They show investors the return they may receive on their investment. They also indicate how well the company is performing. Dividend cover tells an investor how many times the dividends paid for the year can be covered by the profit for the year after interest and tax. This is important to investors who can see if they are getting a fair return on their investment.

If potential investors see that the dividend cover ratio is low, this may encourage potential investors to invest in the company as they will be expecting good revenue returns.

If potential investors see that the dividend cover ratio is high, this may encourage potential investors to invest in the company as they will be expecting good capital growth.

Dividend cover is not the most important ratio

There are more important investment ratios than dividend cover. For example, return on capital employed shows the profits generated before interest and tax as a percentage of capital employed. This shows the return on every pound invested in the company.

Similarly, the earnings per ordinary share show a return on the sum invested by shareholders of the company.

Also important is the price/earnings per share ratio. This shows the relationship between the market price of the share and the earnings per share. This gives an indication of the confidence of the share/stock market in the company.

The dividend cover ratio is specific for the current year. If this ratio looks particularly high, there may not be a case to worry about as this year's dividends could be paid out of previous year's profits. If this ratio looks particularly low, it may be that the company is wanting to use cash reserves for future investments, or it does not have funds to pay a dividend.

Conclusion

Dividend cover is not the most important ratio.

More important ratios are earnings per share and return on capital employed.

35. Evaluate the decision of the directors to reward shareholders by paying a final dividend instead of an issue of bonus shares.

For paying a final dividend

Shareholders receive cash when the dividend is paid which they can spend how they wish.

If healthy dividends are paid, the market may like this and this may cause the share price of Beddokk Supermarkets plc to rise.

If bonus shares are issued, there are more shares on the market so the price of the shares may fall.

For issuing bonus shares

Shareholders may be able to look forward to more dividends in the future as they hold more shares. No funds leave Beddokk Supermarkets plc. The company may have liquidity problems or be short of cash. If dividends are paid, this will see funds leaving the company.

Conclusion

Some shareholders would prefer to receive cash at the present time when paid a dividend. Some shareholders would be happy to receive bonus shares now, with larger dividends in the future.

TOPIC: MERGER/ TAKEOVER

36. Define the term Goodwill

Goodwill is a sum paid in excess of the fair / agreed value of net assets acquired when purchasing a business

37. Explain two reasons why goodwill might occur

Existing customer base. Supply channels set up. Suitable location. Skilled workers. Reputation of business. Brand awareness. Loyal staff. Profitable business.

38. Evaluate the possible treatment of purchased goodwill in the books

Goodwill is an intangible non- current asset on the statement of financial position

Correct treatment of goodwill would be to amortize/depreciate/write off over its useful economic life/ over a lengthy time period e.g. over 20 years.

Cases for:

Likely to derive benefits from the expenditure over a number of years. So spread the cost of this expenditure over a number of years i.e. matching concept gives a true and fair view of the accounts. To write off immediately may make profit unrealistically and tax charge would be unfairly low. In line with recommended practice i.e. FRS 10/IAS 38

against this Treatment: if written off immediately against reserves, the prudence concept is followed.

Conclusion: writing off over a number of years is required and beneficial as it gives a true and fair view of the accounts.

39. Evaluate merger as a shareholders' point of view

For Merger: New Company should enjoy benefits of horizontal integration as in same line of business. Which leads to larger market share which results in increased profits and dividends. New Company could enjoy economies of scale eg bulk buying. New company should be able to reduce costs eg reduce staff or close some branches. They probably need a stronger company to take them over to improve position or guarantee survival.

Reduces risk and reduces competition

Against Merger:

Increased number of shareholders /Dilution of ownership (need one) and voting power. Possible cultural clash leading to demotivation. Dividends may decrease due to increased number of shareholders.

We do not know what the market price

40. Explain the Factors to be considered when revaluing the following:

Property, plant and equipment: Market value /size/ location of property Condition/depreciation of plant and equipment.

Motor vehicles: Mileage/age/condition/depreciation of vehicles.

Other inventory : Lowest of cost and net realisable value. Shelf life/condition/market value of inventory. Number of items.

Trade receivables: Possibility of bad debts. Sales level. Credit policy.

Trade payables: Possibility of discount receivable. Level of purchases/ terms of supplier Availability of cash.

Patent: the number of years remaining

41. Evaluate the appropriateness of revaluing assets and liabilities before a takeover.

AGAINST Revaluations

The larger party may be in a position of strength and abuse this position to revalue assets to their own advantage ie lower value than true market value. Revaluing assets and liabilities a pointless waste of time and money because the buyer can agree to pay whatever goodwill they feel is appropriate. Professional valuers may be required for revaluing and these may charge considerable fees

FOR Revaluations

Even if one party is in a position of strength, the other party does not have to agree to a sale if they do not like the value put on assets. It is only fair that assets and liabilities are sold for their correct market value, not some historical book value that may not reflect market value.

42. Evaluate the use of cash to finance the purchase of a company.

For financing using cash

Buyer may be able to afford purchase using cash / be cash rich better to use this cash than to have lying idle. Memorandum of Association may mean it is not possible to issue more shares, or may need to get approval from Stock Exchange Council to alter Memorandum and issue more shares. If issue more shares in buying company instead number of shareholders in buyer rises so dilution of powers of existing shareholders. and share price falls. and extra dividends may have to be paid in the future. It is quicker/easier/cheaper

Against financing using cash

Use of cash is a drain on liquid resources. May need to take out loan etc. to finance purchase. May not have enough cash to trade normally and enjoy discounts for early payments etc.

Conclusion Financing purchase of another company using cash is good/ not good idea.

43. Evaluate the use of shares to finance the purchase of a company.

For financing using shares

Does not require any use of cash which would be a drain on liquid resources.

If the market thinks the deal is a good one the value of all shares in buying company will rise, keeping shareholders happy.

Improves gearing ratio

No need to payback shareholders

No capital repayment required unlike loans

Dividends only need to be paid when profits are healthy unlike interest payments on loans that must take place

No need to offer collateral

Against financing using shares

If the market thinks the deal is a bad one the value of all shares in buying company will fall, making shareholders unhappy.

Memorandum of Association may mean it is not possible to issue more shares, or may need to get approval from Stock Exchange Council to alter Memorandum and issue more shares.

Number of shareholders in buyer rises so dilution of powers of existing shareholders.

More dividends will be paid to a greater number of shareholders which may result in lower dividends per share

Issuing of shares results in extra costs etc

Conclusion –

Financing purchase of another company is good/ not good idea.

44. Evaluate whether it is preferable for shareholders to receive shares or cash during a takeover?

Cases for shares:

Larger company must feel that there are benefits from taking over another company. Therefore, there must be a possibility that the share price will rise in the future. Also the share may pay out regular dividends in the future.

If inflation is high, the value of cash may soon be reduced to the real terms.

Cases for cash:

Cash may be invested, which may give good returns, or returns that are better than those of shares in the company taking over.

Cash could be spent straight away to give immediate consumption.

If inflation is not high, cash will hold its value in real terms

Conclusion

The best option will depend upon on a number of factors, such as the performance of the larger company, the dividend policy, and inflation.

45. Explain why a company would pay for goodwill

Insurance companies have a large number of existing customers whose details will be kept by the company being taken over/who may not shop around when renewing policy.

The larger company may gain from economies of scale for example marketing economies, only having to advertise one company, not two.

Managerial expertise being purchased for example senior staff with expertise/experience running a large company.

46. Evaluate the decision of paying goodwill to purchase a loss making business .

Case FOR paying goodwill:

The company (Selling company) has an existing customer base and brand value

The company has existing links with suppliers and a trained workforce

What was The company may improve in the future/ make future profits

Purchaser may benefit from economies of scale

Purchaser should increase its market share

Purchaser may benefit from trading in a different segment of the computer games market

Good chance that the value of the property will rise in the future, as it has already had to be revalued upwards once.

The company may have best-selling games in its portfolio and may have patents which will not be shown on the statement of financial position.

The staff of The company may be skilled, creative etc but this value will not be found on the statement of financial position.

Case AGAINST paying goodwill:

The company has been making losses recently, buyers should question - "Why?" Is this because they are inefficient/ badly managed or the games are not very good or the design team are not very creative.

Purchaser may suffer from diseconomies of scale and see profits reduced.

Staff of The company may have outdated skills and may need training.

If professionals are hired calculating goodwill this may be expensive

Conclusion -

Should relate to points made above.

TOPIC: STATEMENT OF CASHFLOW

47. Explain the difference between cash budget and cash flow

A statement of cash flow is for the past 12 months and includes mostly exact figures prepared for external users. A cash budget is for a future period, and involves figures that are mostly estimates prepared for mainly internal use.

48. Evaluate the usefulness of preparing a Statement of Cash Flows.

Case for usefulness of Statement of Cash Flows "

The statement helps Valetta Motors plc study where the company has generated its cash over the last financial year and how it is applied. This may help decision-making in the next financial year. The statement is broken down into three key sectors, net cash flows from operating, investing and financing activities. The three parts are added together to give an overall figure for an increase or a decrease in cash for the last financial year. The statement helps to explain why the overall change in the bank balance might be significantly different (or even contradict) the amount of profit or loss generated. The statement looks back and uses figures that are nearly all actual figures (except for depreciation and amortisation). Case against usefulness of Statement of Cash Flows The statement is fairly complicated. It may not be fully understood by all readers.

It may take time, effort and funding of Valetta Motors plc to produce.

Conclusion

The statement must be produced by Valetta Motors plc and is regarded as a useful tool to inform readers about liquidity of the company.

49. Evaluate whether a company should sell non-current assets to improve cash flow For statement

The company may be experiencing cash flow problems. Company may be able to find premises to rent or company may be able to lease back the same building. Property prices may be falling, so now is the time to sell. Company may not need property of this size to function/surplus asset. Company may be able to buy another property for a lower price. Can sell the property if no alternative funding is available . Sale may reduce interest payments on mortgage/loan.

Against statement

It is taking a short term view. Property prices may be rising, so good business would be to hold onto the asset. Years of rental may eventually be greater than the price for which the property was sold. There will be other costs associated with finding another location eg staff time, legal fees

Alternative funding may be available eg bank loan. Sale may reduce collateral available if requesting to take out a new loan.

Conclusion

Company may be better not selling off the property to improve cash flow

50. There are three sections on a Statement of Cash Flows: Operating Activities, Investing Activities and Financing Activities. Evaluate in which of the three sections it would be most important to have a positive cash flow, for any company.

Operating Activities

Very important. The business cannot survive in the long term without cash inflows from operations.

Investing Activities

A negative cash flow could mean that the company is investing for the future, eg. in non-current assets, or more modern technology. A positive cash flow could indicate that the company is selling off non-current assets, which may be worrying. A positive cash flow could signify that the company is selling off non-core business, which may be a good strategy.

Financing Activities

A positive cash flow would be expected during the first year of trading, as the company attracts finance in order to commence trading. A positive cash flow would be good if the company needs to attract funds in order to expand. A positive cash flow would be bad if the company needs to attract funds in order to survive/ meet debts etc. A negative cash flow would be good if the company is paying back debt. A negative cash flow would be good if it were paying high levels of dividends because they are making high profits.

Conclusion

Operating activities is probably the most important, as they cannot survive without making cash inflows from operations.

TOPIC: BUDGETING

51. Evaluate the most appropriate order in which budget should be prepared, giving reasons

Sales first as this is key budget that determines all the other budgets. Then the stock budget at a level determined by the management. Then production in order to meet sales and required stock level. Then cash as required to meet production demands as generated by sales.

52. Evaluate the decision to produce a quantity determined by the maximum capacity of the factory instead of producing a quantity determined by customers' orders.

For Decision

- Makes full use of factory ie capacity utilisation is 100%, no wastage
- Sales may be more. Able to meet this demand from production or stock.
- In the event of production breakdown customers orders can be met this will maintain customer loyalty.
- (output kept in stock do not deteriorate / perish so money is not lost).

Against Decision

- Stock is building up continually, and this involves a number of costs for example rent insurance and ties up working capital.
- Eventually will run out of storage space, so must find alternative premises or reduce production.
- It is possible that goods could deteriorate in stock for example due to dampness. (The goods might be perishable.)
- Possible that tastes change and firm left with stock that they cannot sell.
-

53. Explain flexible budget

A flexible budget is a budget that can be changed during the accounting period if output changes. For example, if the budget was set up on the basis that 1000 units would be made and production turns out to be 2000, all variable costs would be changed in proportion

54. Evaluate budgets as a management tool for control.

FOR - Budgets as a management tool for forecasting, planning and control.

Preparing a budget ensures management focus on future possibilities and likely outcomes.

Eg Jolly Pyeman plc may focus on level of sales and expected sales revenues.

Some budgets are under the direct control of management. This will mean that management can accurately forecast the likely figures. For example, Jolly Pyeman plc has decided the level of inventory is to be equal to the sales level of the following week. The company will have to plan to ensure it has sufficient capacity for this level of inventory.

Some costs are under management control, for example rate paid to direct labour.

Budgets allow a business to see how a level of costs impacts on profit, for example direct labour.

This may result in management deciding on an appropriate level of pay rise.

Variances can be analysed and remedial action taken. For example, Jolly Pyeman plc may not be happy with the forecast level of sales. This may result in a marketing campaign to boost sales.

Budgets may act as a yardstick against which performance may be measured. This helps senior management in control of other staff of the company. For example, the Production Department has to meet a production target of 620 000 (o/f) pies in the month of July.

Budgets ensure that different departments are co-ordinated, integrated and controlled. For example the purchasing, production, and logistics department of Jolly Pyeman plc must be co-ordinated to ensure the smooth running of the company.

Against

Forecasting may not be accurate. For example, sales for Jolly Pyeman plc are seasonal, affected by the weather. If the autumn months are mild or warm, sales may not reach the expected levels.

Forecasts may be unrealistic. For example, production targets for staff may be set too high, which will demotivate staff.

Some costs are out of management control. For example, Jolly Pyeman plc may not be able to control the wholesale price of meat, or flour. This means that management can only make an informed guess when preparing figures.

Some figures or costs may not change each year. Therefore drawing up budgets is a waste of time and money and does not help planning or control. For example, the production figures for Jolly Pyeman plc may stay the same each year.

Conclusion : Budgets are a useful management tool for forecasting, planning and control.

55. Evaluate the importance of cash budget before starting the business

FOR: Business owners will need to show potential investors eg family and friends, banks business will be successful and is able to give a return/pay back. The Cash Budget will show if the sales receipts will be sufficient to cover all outgoings, and when shortages may occur. The budget may allow business managers to see when alternative arrangements eg overdraft may be required. Also for how long, and how much. The budget may show where a cash surplus may be present, so allows the firm time to plan what to do with the surplus eg invest in shares, currencies etc. Budget can act as a method of control. Budget can give variances which can be analysed and action taken

AGAINST: The budget takes time and money and expertise to draw up. The figures are only predictions and may be inaccurate or misleading. Eg inaccurate sales figures may be caused by change in demand from supermarkets Budget maybe inaccurate and may demotivate workers not meeting targets

Cash Budgets are useful.

56. Evaluate the usefulness of flexible budgets

For flexible budgets: Allows good decision making as “like compared to like” eg similar output levels. May save time and money by allowing “Management by exception” i.e. action only if a variance. Allow choice of optimum output eg 2000 units. Meeting the targets leads to motivation of workforce.

Against flexible budgets: Labour time which means money in preparation. Figures are only estimates so some variances may be misleading/action inappropriate.

Conclusion: flexible budgets are a very useful tool

57. Evaluate the usefulness of budgeting for a new business:

Usefulness of budgets for a new business:

Budgets will focus the attention of the owners onto important areas e.g. cash flow, purchases, production, sales etc. The budget shows the business the likely outcome/future situation. The owners can plan their strategy around what the budget may show. The owners can use budgets as a tool of control over the business. This may allow the business to make changes to their plans if budget figures do not look good. For example, reduce budgeted expenditure or boost planned sales by an advertising campaign. Or, it may result in approaching the bank for a loan. Budgets may act as a motivating tool for staff, who must achieve targets

e.g. sales Once business has started variance analysis, comparing actual figures to the budget, may allow the business to take corrective action. Budgets help communicate ideas and plans to all members of staff. This will also help co-ordinate the activities of different departments e.g. purchasing may operate according to the requirements of production. A framework for responsibility may be created, whereby managers of budget centres are responsible for achieving budgeted targets. A request for a bank loan or overdraft is almost certain to be followed up by a demand for budgets by the bank.

Against usefulness of budgets :

Budget figures can only be estimates/guesses as they are for a future period Unexpected events or changes may happen in the future that were not planned for in the budget. This may make the budget less relevant. The cost of accountants or the time and cost of accounting staff to prepare the budgets and carry out variance analysis may outweigh the benefits or savings made by the budget. Unrealistic budget figures are demotivating for staff, who can never achieve them. Conclusion Budgets are a useful for a new business as they help in planning and achieving targeted goals.

58. Evaluate the decision of Rejecting finished goods.

Advantages of Rejecting finished goods

By rejecting damaged goods/ goods not perfect, the company are assured that goods in the stores are of merchantable/ good quality. This will ensure the brand name is not damaged /has a good reputation. This is particularly important in the fragrance market, where a quality brand name can command a premium price.

High levels of rejections would mean the inspection process is rigorous /doing its job.

Disadvantages of Rejecting finished goods

Rejected finished goods means resources have been wasted. These would be materials and/or labour. It also means capital/finance is wasted.

The company should investigate the possible cause of this rejection e.g. poor quality of materials, or unskilled or untrained labour, faulty machinery etc (need one possibility for maximum of one tick)

Conclusion –

Company should be concerned about the rejection of finished goods as resources are wasted

59. At the end of Month 1, actual sales of have only been half (50%) of budgeted. Evaluate whether they should draw up a new set of budgets to replace the existing budgets for next month.

For Decision to draw up new budgets.

Existing budgets are not likely to be accurate so there is little point in sticking with them. Good budgeting should be flexible, so changes should be made to this ongoing process with regular reviews taking place. A new business should not draw up a three month budget, as it is likely to be unsure of the predicted figures, not having any past figures to rely on. A new budget would help planning / changes eg reduce the purchases for each month. New budgets may have targets staff can reach which will increase motivation.

Against Decision to draw up new budgets

Will take time and money to draw up new budgets. Variance analysis could be carried out and actions taken to meet original budgeted figures. The new budget will only be estimates anyway, so may not be accurate. The only budget directly affected by a lower sales level is trade receivables so there maybe a need just to draw up trade receivables. This is a new business, and sales may pick up to meet month 2 and 3 figures in the original budget, making it accurate.

60. Evaluate, from the point of view the selling company, each of the three payment options, and recommend the most appropriate option.

Option 1: full cash payments at the day of sales

Advantages :

- Brings in a large amount of cash on the day of the sale. • No need to wait for any payment.

Disadvantages

- May not be helpful in generating sales volume, as many customers cannot afford to pay huge amount on one day • The total amount of cash from a sale is less than option 3.

Option 2: pay a small amount at the day of purchase and pay the full payment after 1 year.

Advantages

- May be helpful in generating sales volume, as many customers can afford to pay a small amount on the day of purchase.

Disadvantages

- Does not bring in a large amount of cash on the day of the sale. Company has to wait more than a year for nearly all of the payment. • No interest is charged. • It is possible that some of the debts will turn bad before payment is made. and the amount owing may not be fully recovered.
- The total amount of cash from a sale is less than option 3.

Option 3: 10% deposit on the day of sales and monthly payment after one month of sales

Advantages

- May be helpful in generating sales volume, as many customers can afford the deposit of 10% of the total payment. • Brings in some cash on the day of the sale. • The total amount received from each customer is the most using this option is more than the other two options.

Disadvantages

- Does not bring in a large amount of cash on the day of the sale. • Company has to wait for payment over 36 months.

Conclusion

Option 3 brings in the most cash per sale, although company must wait 3 years to collect all of it. It may be argued that option 1 is the best, as company receive cash on the day of the sale and as % of customers selecting option 1 is higher than the other 2 options.

TOPIC: STANDARD COSTING/ VARIANCE ANALYSIS

61. Explain the stages in establishing a standard cost for a unit of production.

For product, obtain a product specification giving standard quantities for materials and labour. Look at figures for past cost of sales. Standard prices for materials obtained by consulting buyers and suppliers. Standard labour rates obtained by consulting human resources department and/or unions. Standard overheads obtained by consulting management / finance department. Standard cost calculated may be regarded as provisional and may be tested to see if realistic. Standard cost may be revalued if appropriate.

62. Evaluate the effectiveness of management by exception

Management by exception means take action only if the variance is adverse. FOR the use of Management by Exception: Management by exception sees management only investigating differences against present tolerances. Saves management time as no need to take any action if no variance /unless adverse variance. Costs may well be reduced if variances are adverse AGAINST the use of Management by Exception: It is possible that costs could be reduced eg find a cheaper supplier, Standards set could be poor.

63. Evaluate the likely effects of a standard costing system on the production workers

POSITIVE EFFECTS: Helps to establish production targets that may be comfortable for workers to achieve (Eg numerical example). May be basis of possible bonus for production targets met etc. which may see workers taking home more pay. Anything that benefits the firm will benefit the workers eg for job security, pay, bonuses, competitive pricing of products etc. Meeting production targets will motivate workers.

NEGATIVE EFFECTS: Helps to establish production targets that may be difficult for workers to achieve (Eg numerical example). May be basis of possible bonus for production targets met etc. which may see workers missing targets and taking home less. Missing production targets will demotivate workers. Workers may have to work overtime at a higher rate to meet targets. Output may be poor quality in order to meet targets so need supervisors/ inspectors.

64. Evaluate the usefulness of a Standard costing system

For usefulness: Allow performance to be compared with predetermined standards. Variance can be analysed and action can be taken to control costs. Helps eliminate waste, idle time, inefficiency etc. allows management by exception, which sees action taken only for larger variances. Helps to estimate production costs and therefore helps when giving a quotation. Allows target for workers to be set which may motivate workers when targets are achieved.

Against usefulness: take expertise and time/ money to prepare. Inaccurate standards set may be misleading and unhelpful. Some variances may be outside the control of the business and time may be wasted investigating them. Allows target workers to be set which can demotivate if not achieved.

Conclusion: Standard costing is useful.

65. Suggest and explain 2 ways to reduce the labour cost variances

Reduce the rate paid. Perhaps by negotiating with trade unions or by employing low grade workers this could be difficult for the workers to accept as they would be demotivated and output may fall. And strikes etc. could take place. Ensure workers work faster eg by training or having reliable machinery etc. workers must work faster (i.e. increase efficiency) eg by training or improving motivation or having reliable machinery etc. Improve quality of materials which may result in less wastage and reworking.

66. Evaluate the usefulness of Variance analysis

For: Allows firm to see likely outcome/future situation. Allows firm to make changes to plans if budget figures do not look good Examples of above eg reduce planned expenditure or boost planned sales by advertising Comparing Variance analysis allows firms to take corrective action once business started.

Against: Figures are only estimates/guesses. Unexpected events or changes may happen in the future. Time and cost of accounting staff to prepare budget/variance analysis etc.

Conclusion it is a useful tool

67. Briefly explain why a fixed overhead figure may change. Give three examples of fixed overheads that may rise, and explain briefly why they may increase.

Fixed costs do not change with output, but they do change over time. Eg: Rent may be increased each year/when lease is renewed. Salaries may rise during annual pay review/ in line with inflation. Depreciation may rise if more non-current assets are purchased in year.

68. “If there is an adverse variance, this must be bad for the business.” Evaluate this statement.

For statement: If this is a cost variance then expenditure has been more than expected. If budget is realistic, this is bad and may be caused by : Workers not working as hard as they could , Workers being paid more than a market rate wage, Inefficient machinery, Materials being wasted, Paying more than the market rate for materials. If this is a sales variance, then revenue is less than expected This could be caused by: Sales volume being less than expected, Sales price being less than expected

Against statement: Budget set may be unrealistic and actually the business has performed well. There may be a positive aspect to the adverse variance eg: Material prices have risen on the world market, but our buyers are still getting a comparatively good price. Adverse variances may be due to production being greater than expected which is good for the business

Conclusion: Statement is (correct)/not correct

69. Explain why an adverse variance for material would occur. Explain how Material cost variance could be reduced.

Material usage variance: Could be caused by poor quality materials resulting in a lot of wastage. Action to solve the problem could be to change supplier or insist on a certain level of quality. Perhaps insert penalty clauses into supplier's contracts for quality. Or wastage caused by poor quality labour. So train labour better, hire better quality labour, or raise wage rates to attract better quality labour or improve quality control.

Material Price variance: Could be caused by suppliers charging a high price. Action could be Purchasing department must negotiate a lower price. Or change to supplier with lower price. , buy lower quality materials, achieve discount by bulk buying, or prompt payment.

70. Evaluate the decision not to charge the extra production costs to the customers.

AGAINST Passing on the increase in production cost: Could absorb rising costs by increasing efficiency. Customer could be unhappy and not buy and go to a rival supplier. New price could make firm's price higher than rivals.

FOR Passing on the increase in production cost : Need to maintain profit margin, this (or mark-up) could be fixed otherwise business makes losses / goes bankrupt. Cannot keep same selling price for ever will have to increase price some day Customers may be quite willing to pay the higher price if they still think they get good value New price may still be below that of rival firms.

CONCLUSION: (Should relate to above eg passing on increased costs is wrong/right)

TOPIC: CAPITAL BUDGETING/ INVESTMENT APPRAISAL

71. Explain the following accounting terms:

(i) payback period: the payback period is the length of time taken to recover the initial cost of an investment.

(ii) accounting (average) rate of return: the accounting (average) rate of return is the profit as a percentage of the cost of the investment over the life of the investment

(iii) internal rate of return.

(the internal rate of return shows the true return of the investment expressed as a percentage OR the cost of capital when the net present value is equal to zero

72. Evaluate Payback as methods of appraising an investment.

Payback method–

this method measures the period of time it takes the cash flows of a project to repay the cost of the investment.

Advantages:

Simple to use and easy to understand the results. Can be used to compare different projects with different initial costs.

Disadvantages:

Does not take account of the falling value of money over time. May not be suitable for projects that have uneven cash flows e.g. a project may payback quickly and look attractive, but have little cash inflows after payback.

73. Evaluate the Internal Rate of Return as a project appraisal method.

Case for IRR: An accurate return can be calculated. Takes account of falling value of money over time. Can be compared to target value of business to decide whether to invest in project. Can be calculated fairly easily by computer.

Case against IRR: Calculation of IRR involves use of complicated formula requiring Numerical skill or calculation may involve much "trial and error" to arrive at the IRR. May need a computer and computing skills to calculate IRR.

Conclusion: IRR is a good / not a good method of project appraisal.

74. Explain how the profitability index can be useful when evaluating projects.

The profitability index (PI) shows whether a project is worth investing in or not. If the PI is greater than zero, the project is worth investing in. The PI also allows projects of different initial costs to be compared. The higher the PI, the better the financial return for the company.

TOPIC: BREAKEVEN ANALYSIS

75. Differentiate between semi-variable cost and variable cost giving examples

Semi Variable costs are expenses that may vary with output, but not directly. AND/OR are costs that have a fixed element and a variable element and could include: telephone, electricity, gas, water.

Variable costs are expenses that change directly with output. Examples are direct wages, direct materials, royalties, sales commission, and fuel

76. Differentiate between semi-fixed cost and fixed cost.

Fixed costs are cost that does not vary with the level of output. They remain constant regardless of the output. Examples: Rent, Loan interest, Salaries.

Semi-Fixed costs are cost that remain constant up to a certain level of output, increase when reached to the level, and again remain constant for a certain levels.

77. Explain the term angle of incidence. What possible relationship exists between fixed and variable costs where the angle of incidence is narrow?

The angle of incidence equals the angle between the revenue line and the total cost line. Where the angle is narrow, the revenue line emanates from the zero intersection and the total cost line emanates from a low cost (fixed cost) at zero activity. Therefore, the relationship will be of relatively low fixed cost and high variable cost per unit. The narrow angle may also conclude that profit margins are low

78. Is contribution same as margin of safety? Explain your answer?

Profit is equal to total sales revenue less total costs. Margin of safety is equal to actual sales revenue less sales revenue required to break even. OR actual output / sales units less output / sales to break even. Therefore, the two are not the same.

79. Explain the margin of Safety.

It is the excess of actual or budgeted sales over the breakeven sales. The margin of safety shows the extent to which sales may fall before the firm suffers a loss.

80. Is contribution same as profit?

Contribution is the amount available for covering up the fixed cost. Contribution can be found using the formulas:

Contribution per unit = selling price per unit - variable costs per unit

OR Total contribution = Sales Revenue - Variable Costs It is a contribution toward paying off fixed costs. Profit can be found using the following formula: Sales Revenue - Total Costs or Profit = Total Contribution - Fixed Costs. To calculate profit, you must take account of fixed costs. Hence Profit is not the same as contribution

81. Explain the Advantages of break-even analysis.

The analysis could be used for decision-making . For example, if a project does not appear to break- even, the business should not proceed with the project. Break-even analysis is suitable for computer modelling . By changing variables on a spreadsheet, the business could see the effect on break-even point and levels of profit / or graphical representations can be produced easily, which are easier to interpret than columns of figures

82. Explain the Disadvantages of break-even analysis.

The analysis assumes that total fixed costs remain the same for all output levels . This is unrealistic, as there are likely to be stepped fixed costs, meaning total fixed costs will rise as output rises.

Break-even analysis assumes that the variable costs per unit remain the same for all levels of output. This is not likely to happen because, for example, discounts will be received as the purchase of raw materials increases. It is assumed that sales revenue is a straight line, as the selling price per item does not change. This may be unrealistic, as discounts may be allowed

for sales in bulk.

The analysis assumes all output is sold, which may not always happen. This would affect the sales revenue figure/line on the graph and the level of profit achieved.

83. Evaluate the effectiveness of breakeven analysis as an aid to business decision

making FOR effectiveness

Breakeven analysis is a tool that allows a business to forecast profit/loss at different output levels. It helps a business break down costs into fixed or variable. It helps identify margin of safety and the angle of incidence

AGAINST effectiveness

Cost and revenue figures are only predictions and cannot be assumed as 100% accurate. Eg in practice, straight lines on graphs are likely to be curves as discounts are given or received for bulk sales or overtime worked at a higher rate. The breakeven Theory assumes that all output is sold which is not true. Costs and sales figures are affected by outside influences eg inflation, boom or recession, seasonal factors, fashions, life styles etc.

84. "it is easier to control fixed costs than variable cost" evaluate this statement.

Case for easier control of FIXED costs: It is possible to decide the length of life of a non-current asset, thus controlling the depreciation charge per year. It may be possible to negotiate with the landlord to fix a monthly rent charge. It may be possible to negotiate with the bank over the interest rate charged on a loan. Fixed costs do not change with output but variable costs do.

Case for easier control of VARIABLE costs.: It is possible to fix direct wages, and someone will be willing to work for this rate. It may be possible to negotiate with suppliers for the price of raw materials. Some fixed costs may be impossible to change eg loan interest/repayments, business rates, depreciation, insurance.

85. Evaluate the change of fixed salary to a variable rate. If moved to the variable rate

For : Business has profit target and has to take action to achieve these targets. It may not possible to decrease other costs, especially if fixed eg loan repayment, rent etc. It May not be possible to increase selling price to increase profit, as it will result in reduced sales . Manager may be motivated and improve performance / increase output eg train staff better to increase sales which may result in increased market share also in higher profits for business and higher pay for the manager.

Against : Manager is concerned only with output so quality may suffer and there may be more accidents and manager may put workers under more pressure which demotivates. Budgeting for the managers salary maybe more difficult due to fluctuations in sales and output. A rise in variable costs may raise the break even point (but remember fixed costs will rise)

If stays on the fixed rate.

For : Managers are professionals and are usually paid a salary and changing to payment by linking to production may demotivate.

Against : Manager will be de-motivated if forced to take pay cut. This is likely to effect running of the business in a negative way. They Could try to reduce other costs instead eg shop around for lower insurance. A reduction in fixed costs may lower the break even point. (but remember variable costs will rise)

TOPIC: MARGINAL COSTING AND ABSORPTION COSTING

86. Evaluate the decision to produce quantity demanded by the maximum capacity of the factory rather than producing a quantity determined by customers' order

For: Make full usage of the factory. Utilise 100% of resources. No wastage of costs. Sales may increase unexpectedly. They would be able to meet up the demand from production or stock. In case of production breakdown customers order can be met. This will maintain customers' loyalty.

AGAINST: stock is building up continually and this involves a number of extra costs. Warehousing, insurance and ties up working capital. Eventually run out of storage space. So must find alternative premises or reduce production. Possibility of deterioration. Possibility of out date.

87. Evaluate the decision not to produce all of its product range for a few weeks. Case For not producing all of the product range

Profits can be maximised, by ranking in order the products with the highest contribution per unit of limiting factor first.

Profits built up when demand is high, can help cushion the company when demand and profits are low. It will be possible to build up inventory when demand is low as the product is not perishable.

Case Against not producing all of the product range

Customers may be annoyed that there is a waiting time for the order. This is especially applicable for small building/repair jobs which have not planned a schedule in advance. Work may have to stop on the job, whilst supplies are awaited.

The customer may decide to look elsewhere for supplies. They may not return .

The customer may be looking to buy similar products/ products in the same product range.

Conclusion – Not producing all of the product range may/may not be a good idea.

88. Differentiate between direct costs and Marginal costing

Direct costs are direct materials, direct labour, and other costs directly assignable to a product. Marginal costing or variable costing is a procedure by which only prime costs plus variable factory overhead are assignable to a product or inventory; all fixed costs are considered period costs.

89. Distinguish between period costs and product costs.

Period costs are costs charged against the income of the current period. In Marginal costing, the fixed factory overhead as well as selling and administrative expenses are treated as period costs. Expenses that apply to the production of goods are called product costs. Variable manufacturing costs are typical product costs in Marginal costing and are charged against income when the units to which they relate are sold.

90. Evaluate the decision to accept an offer by a customer at below the normal selling price.

Accept the order only if it gives a positive contribution.

For accepting order

- The order could be accepted on the grounds that the selling price is greater than the marginal cost of . A positive contribution per item would be made.
- New customer may result in more orders in the future, perhaps at a higher price.

For rejecting order

- However in the long term, selling at that price would result in a Net Loss/ not all costs are covered.
 - Existing customers would be unhappy to hear of this low price on offer.
- Business reputation may decrease due to biasness among customers.

91. Evaluate which method of stock valuation, marginal costing or absorption costing should be used

Case for Absorption Costing: Sees costs allocated to products. Could be useful for management when fixing prices or reviewing if a product/project has been profitable in the long term Recommended by IAS 2. Follows the matching concept i.e. matches costs with revenues earned for a particular product **Case for Marginal Costing:** Could be said to help decision making in the short term when deciding whether to accept an offer price or make or buy or discontinue a product/profit centre. Sees costs allocated to a time period, so it may be argued that profit for that time period is more accurate. External accounts are drawn up on the basis of a time period. Follows the prudence concept as lower figures for profit and closing inventory. Business owners may like this method as it shows a lower profit so less tax is paid which is probably one of the reasons why final accounts should not use the method.

Conclusion: Should draw up accounts according to absorption costing method.

92. Evaluate the use of marginal costing in decision making.

For Marginal Costing: Allows seeing whether a contribution is made to paying off fixed costs. It Can be used in situations when deciding whether to accept an offer or make or buy or to continue or discontinue production. find the optimal production mix when there is a shortage of an input. It is Useful for short term decision making. It Complies with the prudence concept. It Allocates all costs to the time period

Against Marginal Costing

It Does not give the whole picture i.e. overall profit or loss as only considers variable costs/fixed costs need to be taken into account. It is Not suitable for long term decision making eg fixing prices, when all costs need to be taken into account.

Conclusion: Marginal costing is useful for short term decision making

93. Explain the Advantages and disadvantages of Absorption costing.

Advantages of absorption costing

- All are costs allocated to products. This could be useful for management when fixing prices.
- If used financial statements would give a true and fair view and be signed off by auditors. Recommended by IAS 2. This follows the matching concept. Here the revenues of a product are matched against the costs of the product.

Disadvantage of absorption costing

- All costs are not allocated to the time period in which they are incurred. So it may be argued that profit for that time period is not accurate as external accounts are drawn up on the basis of a time period. It Does not follow the prudence concept. The closing inventory and the profit figures are higher than in marginal costing.
- Absorption costing is not suitable for decision making in the short term. In the long term fixed costs need to be covered so absorption costing is suitable for long term decision making only.

94. Evaluate Non- financial factors to accept an offer by a customer at below the normal selling price.

Non-Financial Factors to Consider:

This could be at a higher price with a greater profit margin. It Enables goods to be sold in a different market which should raise profile of company. The Contract with supplier may lead to further business in future perhaps with a keener price or in times of high demand. Selling at the lower price may upset the existing customers who may demand a lower price or find a different supplier. (If Goods are purchased instead of producing) Quality of the products supplied may be better/worse than products produced themselves Workers earn a higher rate if overtime is paid and this increases motivation.

Case Against considering Non-Financial Factors: Directors' duty is to the shareholders who want a return on their investment. Loss making firms will go out of business in the long term.

(Marginal costing should be used to make these decisions.)

TOPIC: ICT

95. Evaluate how ICT could be used to select the location for the new store and to sell online.

Case for ICT

- Saves time and therefore money, compared to preparing accounts by hand.
- Many accounting packages are available, and these can produce sales invoices, discounts, aged list of debtors, payroll, cash flow, tax returns and create final accounts etc.
- Electronic Point of Sale ensures a perpetual, up-to-date stock control system for stock levels, stock valuation, and reordering.
- Some packages are widely used, which allows auditors to be familiar with their use, making audits more thorough and meaningful. Packages should leave an audit trail.
- Spreadsheets can be used for budgets, job costing, variances etc.

Case against ICT

- Financial cost of hardware, software, staff training, running costs, maintenance etc.
- If staff are not trained, or are unskilled, they can make errors, which the computer may compound.
- Security risks, especially if the public can access the system to make purchases online. Also from staff, who may have to be restricted to certain areas. Computer crashes, freezes etc., which may result in a loss of information. Should conclude that ICT is very advantageous for account

96. Evaluate the use of ICT in break-even analysis.

Case for ICT

- Saves time and therefore money, compared to preparing accounts by hand.
- Spreadsheets can be used for calculations for break-even analysis.
- Spreadsheets can also be used to generate graphical

information. Case against ICT

- Financial cost of hardware, software, staff training, running costs, maintenance etc.
- If staff are not trained or are unskilled, they can make errors, which may lead to generation of incorrect information.
- Security risks if management or company wish to keep the information confidential.
- Computer crashes, freezes etc which may result in a loss of information and waste of staff time. Decision :

97. Evaluate the usefulness to Sunnieside Bakeries plc of information and communication technology (ICT) in bookkeeping and accounting.

Case for ICT

Saves Sunnieside Bakeries plc time and therefore money, compared to preparing accounts by hand. The need to have ledgers and books is eliminated, and this saves space as well.

Many bookkeeping/accounting programmes complete the double entry after the first entry is made. This could reduce errors. They can also produce final financial statements automatically.

Spreadsheets can be used for quick calculations. Also displaying financial and management accounts in a pre-prepared formats. Flexed budgets could be speedily produced by changing key variables.

Packages provide an audit trail, so entries can be tracked. This allows auditors to audit the accounts of Sunnieside Bakeries plc at the year end.

Spreadsheets can also be used to generate graphical information. This may be useful for break-even analysis.

Packages can complete invoices, purchase orders, requisition notes, delivery notes, etc. The presentation for Sunnieside Bakeries plc could be a clearer, standard format, which should be useful.

An Electronic Point of Sale could be used to reduce the need for handling cash, saving time and money. This could also be linked to inventory giving information regarding levels and re-ordering etc.

Case Against ICT

High financial cost of hardware, software, staff training, running costs, maintenance etc for Sunnieside Bakeries plc.

Hardware has a relatively short life, software often needs updating, new staff will need to be trained, and often outside experts are needed for maintenance issues.

If staff are not trained or are unskilled, they can make errors, which may lead to generation of incorrect information. These errors will take time and money to discover and correct.

Security risks if management of Sunnieside Bakeries plc wish to keep the information confidential. Outside hackers could access sensitive information if security controls are weak. Internal staff could gain access to information they are not meant to view if security controls are lapsed.

Computer crashes, freezes, power cuts, etc which may result in a loss of information and waste Sunnieside Bakeries plc staff time. Back-up copies should be kept in case these issues occur

Conclusion

Should conclude that ICT is very advantageous for Sunnieside Bakeries plc.